

Liquid Alternatives

May include listed private equity, buy-write, commodities, hedge funds, currency alpha, distressed credit.

Private Equity

Listed PE

Return Profile: Moderate to High
Liquidity: Daily
Risk: High
Portfolio Role: Capital Growth

Example: VanEck Global Listed PE ETF

Business Development Companies

Return Profile: Moderate
Liquidity: Daily
Risk: Moderate
Portfolio Role: Income + Capital Growth

Example: NYSE: MAIN

Differentiated Strategies

Buy-Write

Return Profile: Low to Moderate
Liquidity: Daily
Risk: Moderate
Portfolio Role: Risk Diversification + Income

Example: ASX: JEPI

Volatility

Return Profile: Low
Liquidity: Daily
Risk: Low to Moderate
Portfolio Role: Risk Diversification

Example: Atlantic House Uncorrelated Fund

Commodities

Gold ETF

Return Profile: Low to High
Liquidity: Daily
Risk: Moderate
Portfolio Role: Risk Diversification

Example: ASX: GLDN

Energy ETF

Return Profile: Low to High
Liquidity: Daily
Risk: Moderate
Portfolio Role: Diversification + Capital Growth

Example: ASX: FUEL

Agriculture ETF

Return Profile: Low to High
Liquidity: Daily
Risk: Moderate
Portfolio Role: Risk Diversification

Example: ASX: MOO

Hedge Funds

Long Short

Return Profile: Moderate to High
Liquidity: Daily
Risk: Moderate
Portfolio Role: Capital Growth + Diversification

Example: Regal Australian Equities L/S Fund

Market Neutral

Return Profile: Low to Moderate
Liquidity: Daily
Risk: Moderate
Portfolio Role: Risk Diversification

Example: Ellerstun Absolute Return Fund

Managed Futures ETF

Return Profile: Moderate
Liquidity: Daily
Risk: Moderate
Portfolio Role: Capital Growth + Diversification

Example: ASX: MRFS

Currency

Active Currency Manager

Return Profile: Low to Moderate
Liquidity: Daily
Risk: Moderate
Portfolio Role: Risk Diversification

Example: P/E FX Global Alpha

Crypto ETF

Return Profile: Very High
Liquidity: Daily
Risk: Extreme
Portfolio Role: Capital Growth

Example: ASX: VBTC

DeFi ETF

Return Profile: Moderate to High
Liquidity: Daily
Risk: High
Portfolio Role: Capital Growth

Example: ASX: CRYPT

Semi-liquid Alternatives

Quarterly – Annual liquidity. May include private equity, venture capital, real assets, hedge funds.

Private Equity

Fund of Funds

Return Profile: Moderate to High
Liquidity: Monthly
Risk: Moderate
Portfolio Role: Capital Growth

Example: Potentum Partners

Secondaries

Return Profile: Moderate to High
Liquidity: Quarterly/Semi Annual
Risk: High
Portfolio Role: Capital Growth

Example: Collier Capital

Venture Capital

Late Stage Funds

Return Profile: Moderate to High
Liquidity: Quarterly/Semi Annual
Risk: Moderate to High
Portfolio Role: Capital Growth

Example: Accel-KKR PE Fund

Secondaries

Return Profile: Moderate to High
Liquidity: Quarterly/Semi Annual
Risk: High
Portfolio Role: Capital Growth

Example: Industry Ventures Secondary Fund

Private Credit

Direct Lending Funds

Return Profile: Moderate
Liquidity: Monthly/Quarterly
Risk: Moderate
Portfolio Role: Income

Example: Blackstone Private Credit

Structured Credit Funds

Return Profile: Moderate
Liquidity: Quarterly
Risk: Moderate to High
Portfolio Role: Capital Growth + Income

Example: Invesco Global Structured Credit Fund

Special Situations

Return Profile: Moderate to High
Liquidity: Quarterly
Risk: Very High
Portfolio Role: Capital Growth

Example: Reservoir Event Driven Credit Fund

Real Assets

Royalties

Return Profile: Moderate
Liquidity: Monthly
Risk: Moderate
Portfolio Role: Income

Example: Harbour Energy Royalty Fund

Infrastructure

Return Profile: Moderate
Liquidity: Monthly/Quarterly
Risk: Moderate
Portfolio Role: Risk Diversification + Income

Example: IFM Australian Infrastructure Fund

Hedge Funds

Global Macro

Return Profile: Moderate to High
Liquidity: Quarterly
Risk: Moderate
Portfolio Role: Capital Growth + Diversification

Example: Bridgewater Pure Alpha Fund

Event Driven

Return Profile: Moderate to High
Liquidity: Quarterly
Risk: Moderate to High
Portfolio Role: Capital Growth

Example: Lone Pine Capital

Dedicated Short

Return Profile: Moderate
Liquidity: Monthly
Risk: High
Portfolio Role: Risk Diversification

Example: Shadowfall Capital

Illiquid Alternatives

5-10+ year liquidity. May include private equity, venture capital, private credit, real assets, hedge funds.

Private Equity

Growth Equity

Return Profile: High
Liquidity: 5-10 years
Risk: High
Portfolio Role: Capital Growth

Example: General Atlantic - Growth Equity Fund

Buyout

Return Profile: High
Liquidity: 10+ years
Risk: High
Portfolio Role: Capital Growth

Example: Blackstone Capital Partners - LBO Fund

Distressed Assets

Return Profile: High
Liquidity: 5-10 years
Risk: Very High
Portfolio Role: Capital Growth

Example: Oaktree Capital Management

Venture Capital

Angel/Seed Funds

Return Profile: Very High
Liquidity: 10+ years
Risk: Extreme
Portfolio Role: Capital Growth

Example: Black Nova Venture Fund

Early-Stage Funds

Return Profile: Very High
Liquidity: 10+ years
Risk: Very High
Portfolio Role: Capital Growth

Example: Sequoia Capital

Private Credit

Mezzanine Debt

Return Profile: High
Liquidity: 3-10 years
Risk: High
Portfolio Role: Income + Capital Growth

Example: Ares Capital

Distressed Debt

Return Profile: High
Liquidity: 3-10 years
Risk: Very High
Portfolio Role: Capital Growth

Example: Apollo Hybrid Value Fund

Special Situations

Return Profile: High
Liquidity: 5-10 years
Risk: Very High
Portfolio Role: Capital Growth

Example: KKR Special Situations Fund

Real Assets

Private Infrastructure

Return Profile: Moderate
Liquidity: 5-15 years
Risk: Moderate
Portfolio Role: Risk Diversification + Income
Example: KKR Private Infrastructure Fund

Farmland

Return Profile: Moderate
Liquidity: 5+ years
Risk: Moderate
Portfolio Role: Income + Risk Diversification

Example: Nuveen Global Farmland Fund

Timberland

Return Profile: Moderate
Liquidity: 5+ years
Risk: Moderate
Portfolio Role: Income + Risk Diversification

Example: Hancock Timberland Fund

Hedge Funds

Convertible Bond Arbitrage

Return Profile: High
Liquidity: 5+ years
Risk: High
Portfolio Role: Capital Growth + Diversification

Example: Lazard Rathmore

Specialist HFs

Return Profile: Moderate - Very High
Liquidity: 5-15 years
Risk: Moderate - High
Portfolio Role: Diversification + Capital Growth

Example: BroadRiver Life Settlements Fund

Distressed Securities

Return Profile: High
Liquidity: 5-10 years
Risk: Very High
Portfolio Role: Capital Growth + Diversification

Example: Elliott International Limited

Alternative Asset Investments: Liquidity vs Risk

